

US ECONOMICS ANALYST

June FOMC Preview: Leadership Transition

- The most important change in the economic data since the last FOMC meeting is the impressive pick-up in job growth that has put the labor market on a sturdier trajectory. This has left the focus on whether the inflation situation is becoming concerning enough to warrant a rate hike. The war and the increase in oil prices will likely drive headline PCE inflation above 4% and leave core PCE inflation above 3% all year. But so far the impact on inflation looks more like the usual passthrough from large oil shocks than the pandemic's wide-ranging shortages and price spikes.
- We continue to see rate hikes as unlikely, both because the Fed has usually not hiked in response to oil price shocks in the past, and because conditions today, especially the more balanced state of the labor market, make it less likely that the oil shock will spark self-sustaining high inflation. That said, there have been some concerning signs already, and meaningful increases in inflation expectations or the breadth of high inflation across categories would make a hike more likely.
- At its June meeting, the first under new Chairman Kevin Warsh, the FOMC is likely to keep the funds rate unchanged and drop the previous forward guidance suggesting cuts. We expect it to just remove from its post-meeting statement the phrase "the extent and timing of additional" in reference to adjustments to the funds rate, though there is plenty of room to simplify the statement further.
- Consistent with the shift to balanced guidance, we expect the median dot to show no change to the funds rate in 2026, with three participants projecting a hike later this year. But we expect the median dot to still show two cuts eventually, most likely one in each of 2027 and 2028. A few neutral rate dots might rise, but the median is unlikely to increase. We assume that Warsh will not submit dots in light of his past criticism of forward guidance, but we are not sure.
- The economic projections for 2026 are likely to show slightly lower GDP growth (-0.2pp to 2.2% Q4/Q4) and unemployment (-0.1pp to 4.3%) and much higher headline (+1.2pp to 3.9%) and core inflation (+0.6pp to 3.3%). We expect the 2027 inflation projections to rise by 0.1pp to 2.3%, implying that the consequences of the war for inflation will be limited beyond this year.
- Because it will likely take quite a while for year-over-year core inflation to approach 2%, we have penciled in the final two rate cuts in our forecast in June

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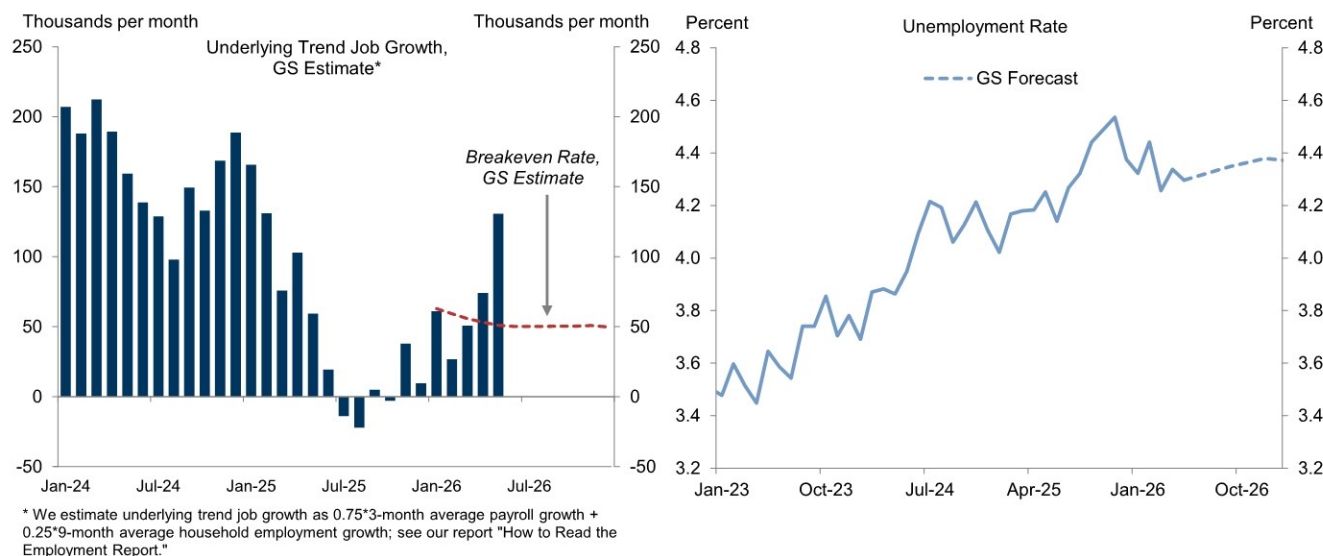
and December 2027. A long pause would increase the probability that the FOMC could instead decide that the funds rate is already in an appropriate place if the economy continues to perform well, and we see a flat path as a plausible alternative to our baseline. Even so, our probability-weighted Fed forecast is meaningfully more dovish than market pricing, largely reflecting our skepticism of rate hikes.

- Questions could come up in the press conference about Warsh's past criticisms of the Fed on themes including communications practices, balance sheet policy, and financial regulation. Our best guess is still that any changes to the first two will be limited, but this week's meeting should provide a better sense of Warsh's priorities and current thinking.

June FOMC Preview: Leadership Transition

The most important change in the economic data since the last FOMC meeting is the impressive pick-up in job growth that has put the labor market on a much sturdier trajectory. While we still expect somewhat below-potential GDP growth in the second half of this year as high oil prices weigh on spending, we expect the unemployment rate to rise only a touch further to 4.4% (Exhibit 1).

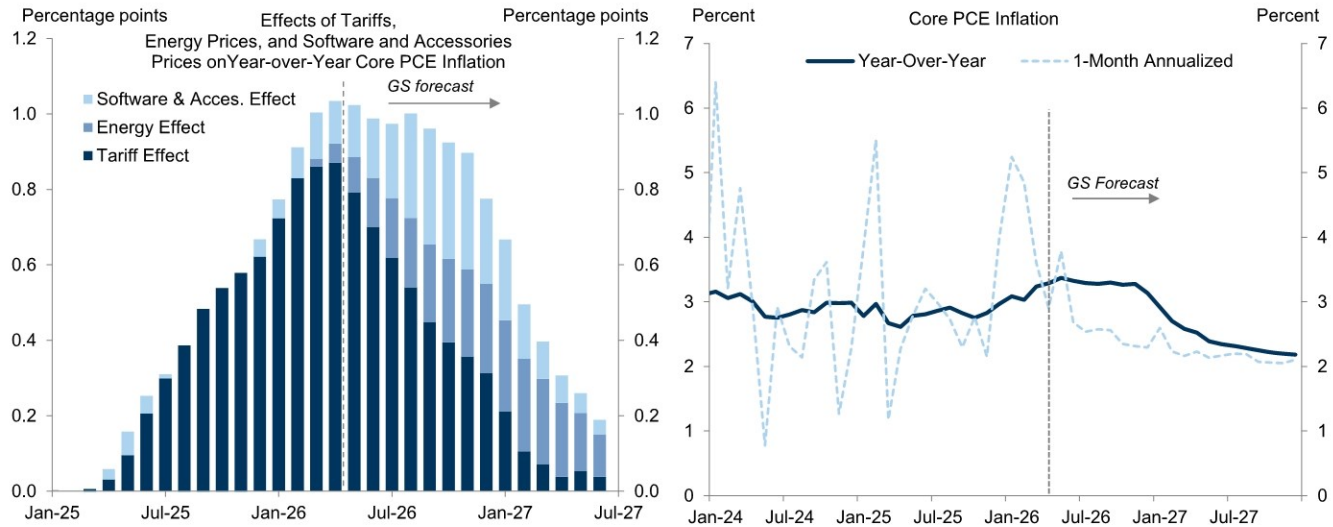
Exhibit 1: The Recent Pick-Up in Job Growth Has Provided Reassurance About the Labor Market Outlook



Source: Goldman Sachs Global Investment Research, Department of Labor

The better labor market data allow the FOMC to focus on whether the inflation situation is becoming concerning enough to warrant a rate hike. The war and the increase in oil prices will likely drive headline PCE inflation above 4% and leave core PCE inflation above 3% all year, even as the effects of last year's tariff increases gradually drop out of the year-over-year calculation (Exhibit 2). But so far the impact on inflation looks more like the usual passthrough from large oil shocks than the pandemic's wide-ranging shortages and price spikes. We think that we have likely now moved through the most extreme effects of the increase in oil prices and in computer memory prices sparked by AI demand on the monthly pace of inflation, which we expect to decline in the remainder of the year.

Exhibit 2: The Combined Effect of Increases in Tariffs, Oil Prices, and Computer Memory Prices Is Likely to Hold Roughly Steady and Keep Year-over-Year Core PCE Inflation Above 3% All Year but Should Fade in 2027

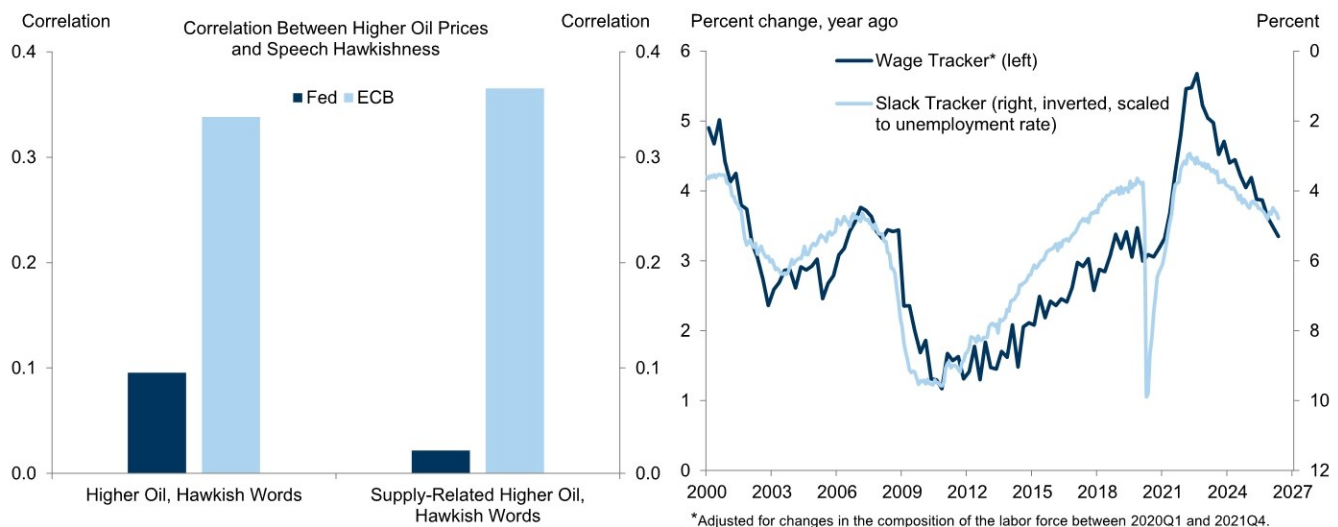


Source: Goldman Sachs Global Investment Research, Department of Commerce

Rate Hikes Still Look Unlikely

We continue to see rate hikes as unlikely, for two main reasons. First, the Fed has usually not hiked in response to oil price shocks that looked unlikely to spark sustained high inflation historically, a difference with the reaction function of the ECB and other central banks (Exhibit 3, left). Second, conditions today, especially the more balanced state of the labor market and moderate starting point for wage growth (Exhibit 3, right), make it less likely that the oil shock will spark self-sustaining high inflation, at least if the effects of the war remain contained and oil prices follow roughly the path our strategists expect.

Exhibit 3: We See Rate Hikes as Unlikely Because the Fed Tends Not to Hike in Response to Oil Shocks and Because the Oil Shock Is Less Likely to Spark Self-Sustaining High Inflation in a More Balanced Labor Market

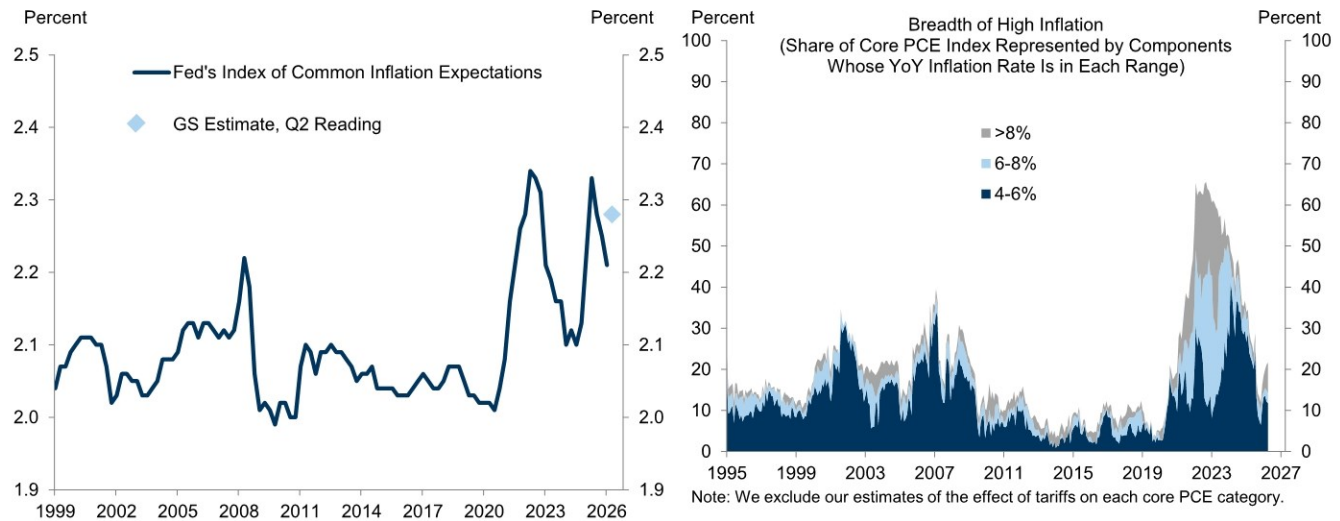


Source: Goldman Sachs Global Investment Research

That said, there have been some concerning signs already, including firmer PPI prints, large increases in the prices received components of the manufacturing surveys, and the now-reversed May spike in long-run Michigan inflation expectations. While we do not

see much risk of broad overheating, a longer war, higher oil prices, and more severe trade disruptions and supply shortages than we expect would raise the risk of pandemic-style inflation contagion, where initial shortage-driven price spikes make larger-than-usual price increases seem normal even to unaffected businesses. The clearest signs of drifting in that direction would be meaningful increases in either inflation expectations or the breadth of high inflation across categories (Exhibit 4), either of which would make a rate hike more likely.

Exhibit 4: Concerning Signals from Inflation Expectations or the Breadth of High Inflation Across Categories Would Make Hikes More Likely



Source: Goldman Sachs Global Investment Research, Federal Reserve, Department of Commerce

The June Meeting

The June FOMC meeting will be the first under new Chairman Kevin Warsh. The FOMC is widely expected to keep the funds rate unchanged and drop the previous forward guidance suggesting cuts. We expect the FOMC to accomplish that by just removing the phrase “the extent and timing of additional” in reference to adjustments to the funds rate. But Exhibit 5 shows that there is plenty of further room to shorten and simplify the statement, which Warsh might prefer, because some sentences (pairs of which are highlighted in yellow and blue) partially overlap. The statement is also likely to acknowledge the pick-up in job growth in its first paragraph. We do not expect any dissents, though a dissent in favor of a hike is possible.

Exhibit 5: We Expect the FOMC to Shift to Balanced Guidance by Removing “the Extent and Timing of Additional” from Its Guidance, Though There Is Further Room to Simplify and Shorten the Statement

Recent indicators suggest that economic activity has been expanding at a solid pace. Job gains have ~~remained low~~picked up, on average, and the unemployment rate has been little changed in recent months. Inflation is elevated, in part reflecting the recent increase in global energy prices.

The Committee seeks to achieve maximum employment and inflation at the rate of 2 percent over the longer run. Developments in the Middle East are contributing to a high level of uncertainty about the economic outlook. The Committee is attentive to the risks to both sides of its dual mandate.

In support of its goals, the Committee decided to maintain the target range for the federal funds rate at 3-1/2 to 3-3/4 percent. ~~In considering the extent and timing of additional adjustments to the target range for the federal funds rate, the Committee will carefully assess incoming data, the evolving outlook, and the balance of risks.~~ The Committee is strongly committed to supporting maximum employment and returning inflation to its 2 percent objective.

In assessing the appropriate stance of monetary policy, the Committee will continue to monitor the implications of incoming information for the economic outlook. The Committee would be prepared to adjust the stance of monetary policy as appropriate if risks emerge that could impede the attainment of the Committee's goals. The Committee's assessments will take into account a wide range of information, including readings on labor market conditions, inflation pressures and inflation expectations, and financial and international developments.

Source: Goldman Sachs Global Investment Research, Federal Reserve Board

The economic projections for 2026 are likely to show slightly lower GDP growth (-0.2pp to 2.2% Q4/Q4) and unemployment (-0.1pp to 4.3%) but much higher headline (+1.2pp to 3.9%) and core inflation (+0.6pp to 3.3%). A key question is how much the 2027 inflation projections will change, because this will give a sense of how concerned FOMC participants are that the latest in a series of inflation shocks will have long-lasting consequences. We expect both headline and core to rise 0.1pp to 2.3% (Exhibit 6).

Exhibit 6: The Economic Projections Are Likely to Show Lower GDP Growth, Slightly Lower Unemployment, and Considerably Higher Headline and Core Inflation in 2026

Summary of Economic Projections				Longer run
	2026	2027	2028	
Real GDP Growth*				
<i>GS Forecast</i>	1.9	2.2	2.3	
GS Forecast of June SEP	2.2	2.3	2.1	2.0
March SEP	2.4	2.3	2.1	2.0
Unemployment*				
<i>GS Forecast</i>	4.4	4.3	4.3	
GS Forecast of June SEP	4.3	4.3	4.2	4.2
March SEP	4.4	4.3	4.2	4.2
PCE Inflation*				
<i>GS Forecast</i>	3.8	2.2	2.0	
GS Forecast of June SEP	3.9	2.3	2.0	2.0
March SEP	2.7	2.2	2.0	2.0
Core PCE Inflation*				
<i>GS Forecast</i>	3.2	2.2	2.0	
GS Forecast of June SEP	3.3	2.3	2.0	
March SEP	2.7	2.2	2.0	
Fed Funds Rate* (Median)				
<i>GS Forecast</i>	3.625	3.125	3.125	
GS Forecast of June SEP	3.625	3.375	3.125	3.125
March SEP	3.375	3.125	3.125	3.125
Addenda: Fed Funds Rate (Mean)				
GS Forecast of June SEP	3.65	3.32	3.25	3.22
March SEP	3.35	3.19	3.19	3.16

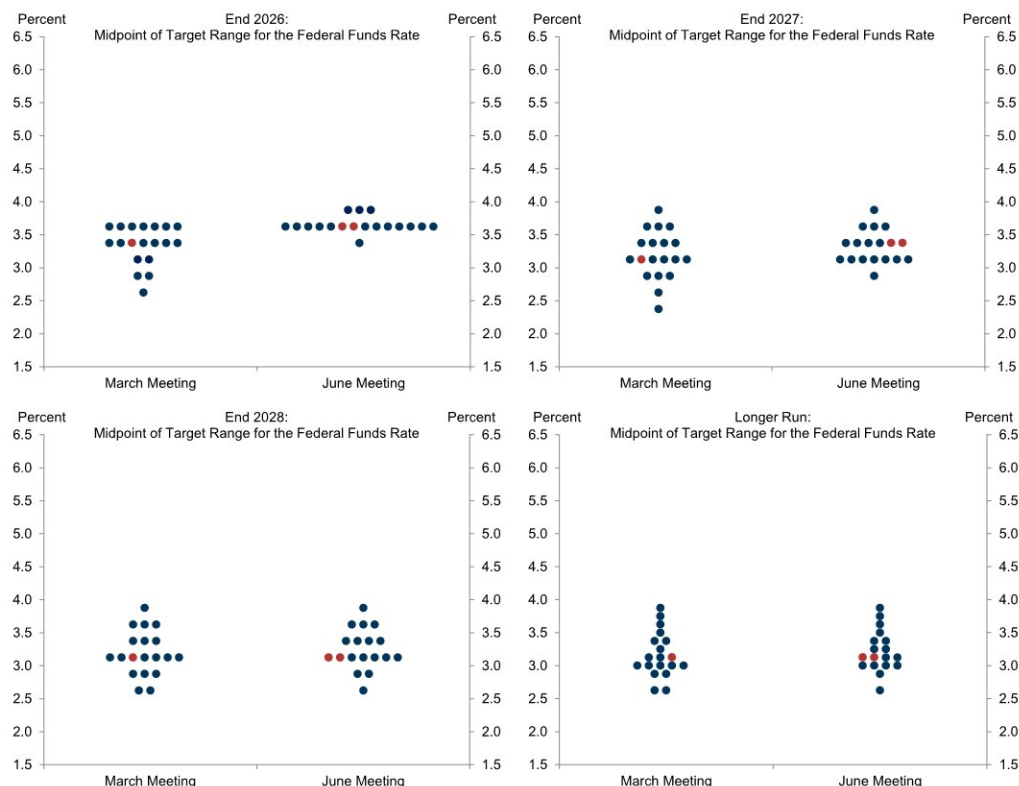
* Data shown are medians.

Note: GDP growth and inflation forecasts are Q4/Q4. Unemployment is the Q4 average. The funds rate is the level at the end of the year.

Source: Goldman Sachs Global Investment Research, Federal Reserve Board

Consistent with the shift to balanced guidance, the median dot is likely to show no change to the funds rate in 2026. We think that a few participants will project a hike later this year, and perhaps one will show a cut. We expect the median dot to still show two cuts eventually, most likely one in each of 2027 and 2028, though two in 2027 is also possible. A few neutral rate dots might rise, but the median is unlikely to increase at this meeting (Exhibit 7). We assume that Warsh will not submit dots in light of his past criticism of forward guidance, but we are not certain.

Exhibit 7: We Expect the Median Dot to Show No Change in 2026 and One Cut in Each of 2027 and 2028



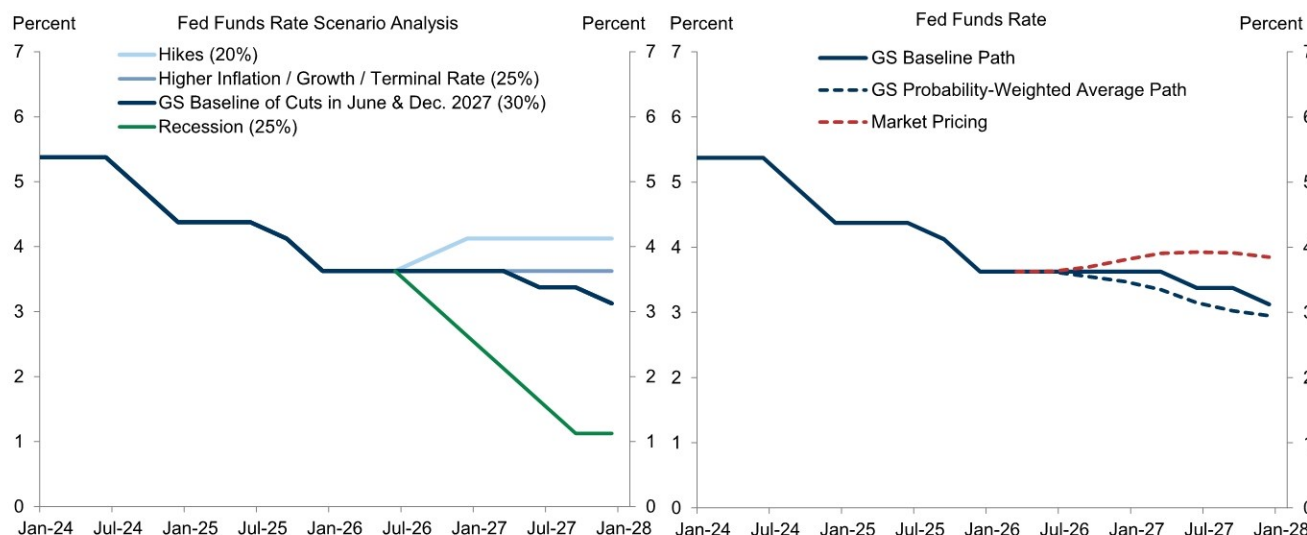
Source: Goldman Sachs Global Investment Research, Federal Reserve Board

Two More Cuts, but Not for a While

Until the war ends and FOMC participants feel confident that the upside risk to inflation it presents is behind us, the Fed's debate is likely to focus on potential rate hikes. Even then, in light of the large group on the FOMC that has expressed concern about many years of high inflation, we would not expect the FOMC to lower the funds rate until year-over-year core PCE inflation approaches 2%. This is likely to take quite a while, and we have therefore penciled in the final two cuts in June and December 2027.

As we noted [last week](#), a long pause would increase the probability that the FOMC could eventually instead conclude that the funds rate is already in an appropriate place if the economy continues to perform well, a conclusion that we would find reasonable but that most FOMC participants have not yet drawn. As a result, we see a flat path as a plausible alternative to our baseline and give it nearly as high a probability in our fed funds scenario analysis. Even so, our probability-weighted Fed forecast is meaningfully more dovish than market pricing, largely reflecting our skepticism of rate hikes (Exhibit 8).

Exhibit 8: Our Baseline Fed Forecast Calls for Two Final Cuts in June and December 2027; Our Probability-Weighted Fed Forecast Remains More Dovish Than Market Pricing, Reflecting Our Skepticism of Hikes



Source: Goldman Sachs Global Investment Research

The Leadership Transition

We do not expect any major institutional changes at Chairman Warsh's first meeting. But questions could come up in the press conference about whether he plans to act on his past criticisms of the Fed on themes including communications practices, balance sheet policy, and financial regulation.

On communications practices, Warsh has called for saying less, and many investors have wondered if he might move to cancel the Summary of Economic Projections. While we do see some potential areas for improvement, we do not expect any major near-term changes. The FOMC just had a lengthy discussion of its communication practices last year in its framework review and was unable to agree on any changes. In addition, because making the reaction function more transparent should itself support macroeconomic stabilization, we think it would be hard to justify moving in the opposite direction.

On the balance sheet, regulatory and supervisory changes are likely to have some impact on banks' demand for reserves balances and ultimately on the size of the balance sheet. But as we explained in greater depth in March, we do not expect the FOMC to shrink the balance sheet more substantially.

On financial regulatory policy, Warsh has argued for a lighter touch on small- and medium-sized banks in particular. Some changes are already underway under Vice Chair for Supervision Bowman, and while they have sparked some controversy on the FOMC, Warsh has praised these early steps.

The press conference should provide a better sense of Warsh's priorities and current thinking on these and other topics.

David Mericle

The US Economic and Financial Outlook

(% change on previous period, annualized, except where noted)

	2023	2024	2025	2026	2027	2025 Q4	Q1	2026 Q2	Q3	Q4	Q1	2027 Q2	Q3	Q4
OUTPUT AND SPENDING														
Real GDP	2.9	2.8	2.1	2.1	2.1	0.5	1.6	2.3	1.9	1.9	2.1	2.2	2.3	2.3
Real GDP (annual=Q4/Q4, quarterly=yoy)	3.4	2.4	2.0	1.9	2.2	2.0	2.6	2.2	1.6	1.9	2.1	2.0	2.1	2.2
Consumer Expenditures	2.6	2.9	2.6	1.8	1.7	1.9	1.4	1.4	1.3	1.3	1.9	2.0	2.1	2.2
Residential Fixed Investment	-7.8	3.2	-2.2	-3.8	1.5	-1.7	-6.3	-5.2	1.5	1.5	2.2	2.2	2.2	2.2
Business Fixed Investment	7.3	2.9	4.1	6.5	5.7	2.4	10.1	7.2	7.5	6.9	4.9	4.9	4.9	4.9
Structures	16.7	1.1	-5.3	-3.8	2.0	-6.6	-5.4	0.4	-1.0	-0.2	3.5	3.5	3.5	3.5
Equipment	2.9	3.5	8.3	10.6	7.0	4.3	17.2	12.9	11.0	9.5	5.0	5.0	5.0	5.0
Intellectual Property Products	6.2	3.5	5.6	7.9	6.2	5.4	11.6	5.0	8.2	7.8	5.5	5.5	5.5	5.5
Federal Government	3.3	3.8	-1.2	-1.5	0.7	-16.7	9.5	-3.0	1.0	1.0	1.0	1.0	1.0	1.0
State & Local Government	3.6	3.8	2.5	1.4	0.9	1.5	1.5	0.8	0.5	1.0	1.0	1.0	1.0	1.0
Net Exports (\$bn, '17)	-925	-1,033	-1,091	-1,098	-1,170	-969	-1,064	-1,090	-1,109	-1,131	-1,147	-1,162	-1,178	-1,194
Inventory Investment (\$bn, '17)	47	44	29	28	61	-16	-26	41	45	50	55	60	65	65
Nominal GDP	6.7	5.3	5.0	6.1	5.0	4.2	5.2	9.1	4.8	4.6	4.9	4.7	4.6	4.4
Industrial Production, Mfg.	-1.0	-1.0	0.8	3.5	3.9	-3.4	5.3	8.3	4.9	3.9	3.4	3.3	3.3	3.3
HOUSING MARKET														
Housing Starts (units, thous)	1,421	1,370	1,356	1,319	1,322	1,323	1,413	1,290	1,280	1,292	1,304	1,316	1,328	1,340
New Home Sales (units, thous)	666	684	679	670	644	711	690	690	662	638	626	632	649	670
Existing Home Sales (units, thous)	4,103	4,067	4,076	4,212	4,375	4,157	4,169	4,189	4,223	4,267	4,310	4,353	4,396	4,440
Case-Shiller Home Prices (%yoy)*	5.3	3.8	0.7	0.7	2.2	0.7	0.3	0.8	0.7	0.7	1.1	1.4	1.8	2.2
INFLATION (% ch, yr/yr)														
Consumer Price Index (CPI)**	3.3	2.9	2.7	3.8	2.2	2.7	2.7	4.0	3.8	3.8	3.5	2.4	2.4	2.2
Core CPI **	3.9	3.2	2.6	2.7	2.2	2.7	2.5	2.8	2.6	2.7	2.5	2.2	2.2	2.2
Core PCE** †	3.1	3.0	3.0	3.1	2.2	2.9	3.1	3.3	3.3	3.2	2.7	2.4	2.3	2.2
LABOR MARKET														
Unemployment Rate (%)^	3.8	4.1	4.4	4.4	4.3	4.4	4.3	4.3	4.3	4.4	4.4	4.4	4.3	4.3
U6 Underemployment Rate (%)^	7.2	7.6	8.4	8.2	8.1	8.4	8.0	8.1	8.2	8.2	8.2	8.2	8.1	8.1
Payrolls (thous, monthly rate)	210	122	10	72	50	-39	73	130	40	45	50	50	50	50
Employment-Population Ratio (%)^	60.1	59.9	59.7	59.1	59.0	59.7	59.2	59.2	59.1	59.1	59.0	59.0	59.0	59.0
Labor Force Participation Rate (%)^	62.5	62.5	62.4	61.8	61.6	62.4	61.9	61.8	61.8	61.8	61.7	61.7	61.7	61.6
Average Hourly Earnings (%yoy)	4.4	3.9	4.0	3.9	3.8	4.0	4.0	4.0	3.9	3.8	3.8	3.8	3.8	3.8
GOVERNMENT FINANCE														
Federal Budget (FY, \$bn)	-1,694	-1,833	-1,775	-1,950	-2,050	--	--	--	--	--	--	--	--	--
FINANCIAL INDICATORS														
FF Target Range (Bottom-Top, %)^	5.25-5.5	4.25-4.5	3.5-3.75	3.5-3.75	3-3.25	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.5-3.75	3.25-3.5	3.25-3.5	3-3.25
10-Year Treasury Note^	3.88	4.58	4.18	4.40	4.25	4.18	4.30	4.50	4.45	4.40	4.35	4.30	4.25	4.25
Euro (€/€)^	1.11	1.04	1.17	1.18	1.20	1.17	1.15	1.16	1.19	1.18	1.19	1.20	1.20	1.20
Yen (\$/¥)^	141	157	157	158	141	157	159	158	158	158	156	141	101	141

* Weighted average of metro-level HPIs for 381 metro cities where the weights are dollar values of housing stock reported in the American Community Survey. Annual numbers are Q4/Q4.

** Annual inflation numbers are December year-on-year values. Quarterly values are Q4/Q4.

† PCE = Personal consumption expenditures. ^ Denotes end of period.

Note: Published figures in bold.

Source: Goldman Sachs Global Investment Research

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Disclosure Appendix

Reg AC

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Unless otherwise stated, the individuals listed on the cover page of this report are analysts in Goldman Sachs' Global Investment Research division.

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